

SENATE BILL 1335

By Powers

AN ACT to amend Tennessee Code Annotated, Title 55,
Chapter 12 and Title 55, Chapter 4, relative to
motor vehicle financial responsibility.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 55, Chapter 4, Part 1, is amended by
adding the following as a new section:

55-4-144.

(a) The general assembly finds that the Financial Responsibility Law of 1977,
compiled in chapter 12, part 1 of this title, is of utmost importance to the safety of the
citizens of this state.

(b) The commissioner or a county clerk shall not register or renew the
registration of a motor vehicle, unless the vehicle and its owner have met the
requirements of this section and the Financial Responsibility Law of 1977 for the
registration or renewal period. Every registration or renewal of registration must be
accompanied by the following notice:

THE OWNER AND/OR OPERATOR OF THIS VEHICLE ARE REQUIRED TO
MEET THE REQUIREMENTS OF THE TENNESSEE FINANCIAL
RESPONSIBILITY LAW PURSUANT TO TENNESSEE CODE ANNOTATED, §
55-4-144.

(c) For applications for registration or renewal submitted in person, submission
of the following items constitutes satisfactory proof that a vehicle and its owner have met
the requirements of the Financial Responsibility Law of 1977, as required by subsection
(b):

(1) Documentation, such as the declaration page of an insurance policy, an insurance binder, or an insurance card from an insurance company authorized to do business in this state, whether in paper or electronic format, stating that a policy of insurance meeting the requirements of the Financial Responsibility Law of 1977 has been issued and will be in force throughout the motor vehicle's period of registration or renewal; or

(2) A certificate, valid for one (1) year, issued by the commissioner of safety, stating that:

(A) A cash deposit or bond in the amount required by the Financial Responsibility Law of 1977 has been paid or filed with the commissioner of revenue; or

(B) The driver has qualified as a self-insurer under § 55-12-111.

(d) For purposes of this section, acceptable electronic formats include display of electronic images on a cell phone or any other type of portable electronic device.

(e) If an application for registration or renewal is submitted through a website administered by the department or a county clerk, or, if an applicant fails to submit to the commissioner or a county clerk proof that the vehicle and its owner have met the requirements of the Financial Responsibility Law of 1977 pursuant to subsection (c), then the commissioner or the county clerk, as applicable, shall utilize the vehicle insurance verification program, as defined in § 55-12-203, and may rely on the information provided by the vehicle insurance verification program, for the purpose of verifying proof that the vehicle and its owner have met the requirements of the Financial Responsibility Law of 1977.

SECTION 2. Tennessee Code Annotated, Section 55-12-139(b)(2)(A), is amended by deleting the language "has been issued;" and substituting instead the following:

has been issued and is expected to be in force throughout the motor vehicle's period of registration or renewal;

SECTION 3. Tennessee Code Annotated, Section 55-12-210(a)(2), is amended by deleting "twenty-five-dollar coverage failure fee" and substituting instead "fifty-dollar coverage failure fee" and by deleting "The notice described in subdivision (a)(1)" and substituting instead "Subject to subsection (h), the notice described in subdivision (a)(1)".

SECTION 4. Tennessee Code Annotated, Section 55-12-210(b)(1)(A), is amended by deleting the subdivision and substituting instead:

(A) Subject to subsection (h), impose on the owner of the motor vehicle a fifty-dollar coverage failure fee. Of this fee, twenty-five dollars (\$25.00) must be distributed to the county clerk of the county in which the motor vehicle is registered, five dollars (\$5.00) must be distributed to the department of safety, and the remainder must be deposited into the uninsured motorist identification restricted fund created in § 55-12-213. Twenty percent (20%) of the revenue distributed to the county clerk must be earmarked for the county clerk's work in administration of the vehicle insurance verification program and must not revert to the county general fund at the end of the budget year if unexpended, and the remainder of the revenue distributed to the county clerk must be retained by the clerk and handled in the same manner as all other fees collected by the clerk for the clerk's benefit.

SECTION 5. Tennessee Code Annotated, Section 55-12-210, is amended by adding the following new subsection:

(h)

(1) If an owner of a motor vehicle becomes eligible for a second notice as described in subsection (a) within three (3) years from the date of the first notice the department issued to the owner under subsection (a), then the coverage

failure fee imposed pursuant to subdivision (b)(1)(A) is two hundred fifty dollars (\$250). Of this fee, one hundred twenty-five dollars (\$125) must be distributed to the county clerk of the county in which the motor vehicle is registered, fifty dollars (\$50.00) must be distributed to the department of safety, and the remainder must be deposited into the uninsured motorist identification restricted fund created in § 55-12-213. Twenty percent (20%) of the revenue distributed to the county clerk must be earmarked for the county clerk's work in administration of the vehicle insurance verification program and must not revert to the county general fund at the end of the budget year if unexpended, and the remainder of the revenue distributed to the county clerk must be retained by the clerk and handled in the same manner as all other fees collected by the clerk for the clerk's benefit.

(2) If an owner of a motor vehicle becomes eligible for a third notice as described in subsection (a) within three (3) years from the date of the second notice the department issued to the owner as described in subdivision (h)(1), then the coverage failure fee imposed pursuant to subdivision (b)(1)(A) is five hundred dollars (\$500). Of this fee, two hundred fifty dollars (\$250) must be distributed to the county clerk of the county in which the motor vehicle is registered, one hundred dollars (\$100) must be distributed to the department of safety, and the remainder must be deposited into the uninsured motorist identification restricted fund created in § 55-12-213. Twenty percent (20%) of the revenue distributed to the county clerk must be earmarked for the county clerk's work in administration of the vehicle insurance verification program and must not revert to the county general fund at the end of the budget year if unexpended, and the remainder of the revenue distributed to the county clerk must be retained

by the clerk and handled in the same manner as all other fees collected by the clerk for the clerk's benefit.

SECTION 6. This act takes effect July 1, 2025, the public welfare requiring it.